Syllabus Edition
First teaching 2025
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Promotion

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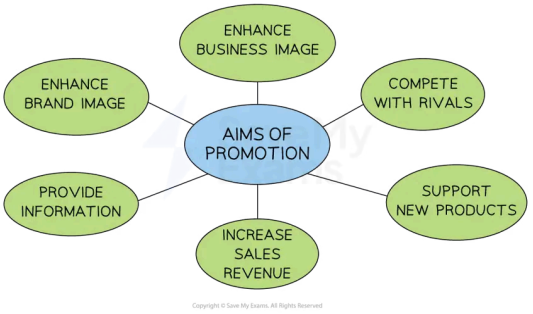
Reasons for promotion

- **Promotion refers to all the activities a business uses to inform, persuade, and remind customers about its products or services, with the aim of increasing sales and building brand loyalty**
  - Promotion communicates a business's **value proposition** to potential customers and helps to differentiate the product or business from competitors
  - Promotion plays a crucial role in **generating customer awareness**, interest and desire for a product

The main aims of promotion



Promotion aims to support sales of new and existing products, inform customers and improve brand and business image

1. **Enhance brand and business image**
   - Promotion helps build a strong, positive image of the business. It can show the brand as trustworthy, high-quality, ethical, or innovative
   - For example, Apple uses sleek advertising to reinforce its image as a premium, cutting-edge brand

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Got it

attract customers away from competitors
    - For example, Burger King and McDonald's use adverts and discounts to compete for customers

3. **Support new products**
    - When launching a new product, promotion creates awareness and interest. It helps customers learn what the product is and why they should try it
    - For example, a soft drinks company might offer free samples in supermarkets when introducing a new flavour

4. **Increase sales revenue**
    - Well-planned promotion can boost sales by encouraging more people to buy, or to buy more often
    - For example, limited-time discounts or "Buy 1, Get 1 Free" deals increase customer purchases

5. **Provide information**
    - Promotion can be used to inform customers about product features, prices, store locations, or changes to the business
    - For example, a bank may use advertising to explain new mobile banking features to its customers

Methods of sales promotion

- **Sales promotion** is a short-term marketing strategy used to encourage customers to buy a product
- It often includes special deals or incentives and is designed to boost sales quickly or support a new product launch

Help me understand

Methods of sales promotion

Vouchers

- Customers are given a coupon or code offering money off a future purchase

Advantages	Disadvantages
• Vouchers encourage customers to return and make another purchase • They attract customers who are looking for lower prices	• Profit margins are reduced when discounts are used • Some customers may wait for vouchers instead of paying full price

Reward schemes

- Customers earn points or rewards for regular purchases

• Reward schemes build loyalty by encouraging repeat purchases • They help the business keep existing customers over time	• They can be expensive to set up and maintain • They may not attract many new customers

Competitions

- Customers enter to win a prize, often by buying a product or taking part in an activity

Advantages	Disadvantages
• Competitions increase interest in the brand and can be shared on social media • They can encourage people to buy in order to enter	• Not all participants become regular buyers. • Prizes and promotions add extra costs for the business

Special offers and discounts

- Temporary price reductions like 20% off or Buy One, Get One Free

Advantages	Disadvantages
• These offers can quickly increase sales and attract attention • They can help clear old or excess stock	• Frequent discounts may damage the brand's image • Lower prices can reduce profits

Examiner Tips and Tricks

Avoid treating promotion as only advertising – examiners expect you to distinguish between **advertising methods** and **sales promotions**, and to justify which is most effective in the case study

Recommending a suitable sales promotion

- A business must carefully choose the right type of sales promotion to suit its product, customers and objectives

Factors affecting the choice of sales promotion

Sales promotions must be suitable for the target market and type of product, as well as being within budget

Target market

- The type of customers the business wants to reach will influence the promotion
  - For example, young customers might respond well to competitions or online discounts, while regular shoppers may prefer reward schemes

Type of product

- Some promotions work better for certain products
  - For example, Buy One, Get One Free is effective for fast-moving items like snacks, but not for expensive goods like electronics

Stage in the product life cycle

- Sales promotions are often used during product launch or maturity stages
  - For example, a new product might use vouchers to attract first-time buyers, while a mature product might offer discounts to boost slowing sales

Promotion objectives

- The business must be clear on what it wants to achieve
  - For example, if the objective is to build loyalty, a reward scheme may be best, but if the objective is to quickly increase sales, a discount might be more suitable

Budget available

- The business must consider how much money it has to spend
  - For example, competitions with prizes or large discount campaigns can be costly, so may not be suitable for small businesses

Case Study

Selecting a Suitable Sales Promotion for GLOH Skincare

GLOH is a small business that produces luxury skincare products. It is about to launch a new moisturising face cream

Actions

The marketing team is considering two sales promotions

- **Vouchers**
  - Customers receive a 20% off voucher with their first purchase to use on their next order
  - The team believes this will encourage customers to return, helping to build long-term loyalty
- **Launch competition**
  - Customers who buy the face cream during the first month are entered into a draw to win a year's supply of GLOH products
  - The team thinks this will create buzz around the launch and boost interest on social media

Recommendation

- GLOH should offer **vouchers** as its main sales promotion
- The business wants to **encourage repeat purchases** and build a base of loyal customers
- While competitions may attract attention, they are more likely to bring in one-time buyers who may not return

Methods of advertising

- Advertising is a form of paid promotion used by businesses to inform, persuade or remind customers about their products or services
- It aims to increase sales, build brand awareness and attract new customers through different media such as TV, social media, billboards or print

Social media

- Using platforms like Instagram, TikTok or Facebook to promote products and interact with customers

Advantages	Disadvantages
• Social media allows businesses to reach a large audience quickly at low cost • It also helps build relationships through comments and messages	• It can be time-consuming to manage accounts and reply to customers • Negative feedback can spread quickly and harm the brand

on their interests or past purchases

Advantages	Disadvantages
• Emails are low-cost and can be personalised to suit the customer • They are useful for reaching existing or interested customers directly	• Customers may ignore emails or delete them without reading • If used too often, it can annoy customers or be seen as spam

Leaflets

- Printed materials handed out or delivered to promote a product, service or event

Advantages	Disadvantages
• Leaflets are cheap to print and are useful for local promotions • They can be delivered directly to potential customers	• Many people throw away leaflets without reading them • Printing large amounts can be wasteful and harm the environment

Billboards

- Large outdoor posters placed in high-traffic areas to catch public attention

Advantages	Disadvantages
• Billboards are seen by thousands of people every day • They are effective for raising awareness of a brand or product	• Renting billboard space in busy areas can be expensive • They have limited space, so detailed information can't be included

Recommending a suitable method of advertising

- Businesses must choose the right type of advertising based on several important factors
  - **Target market**
    - The advertising method should match the age, interests and habits of the target customer
    - For example, social media is good for reaching young people
  - **Cost and budget**

- **Type of product**
  - Products with visual appeal, like fashion items or food, may benefit from image-based adverts on platforms like Instagram or billboards
- **Message content**
  - If the advert needs to give detailed information, methods like emails or leaflets may be more suitable than a billboard
- **Reach**
  - Businesses may choose national advertising for large markets or local advertising, using posters or flyers, for smaller areas

Case Study

Choosing a Suitable Advertising Approach for Kahawa

Kahawa is a small business in South Africa that sells organic, fair-trade coffee beans. The business is planning to launch a new product: cold brew coffee in eco-friendly bottles

Kahawa wants to raise awareness and attract new customers, especially young adults in cities.

Actions

The marketing team is considering three advertising options

Option	Description	Why it's being considered
Social media	• Promote the cold brew on Instagram and TikTok using short videos showing how it's made and sourced	• Social media is popular with young adults and allows for low-cost, creative marketing
Leaflets	• Hand out leaflets near gyms, universities and cafés, offering a	• This is a cheap way to advertise locally and reach health-conscious

Billboards	• Place a large billboard in a busy part of Cape Town to grab attention	• It would reach a wide audience and increase brand visibility

Recommendation

- Kahawa should use **social media** as its main advertising method
  - This option fits the target market, is affordable and allows the business to tell its story using visuals and video
- Leaflets are useful for local promotion but may be ignored
- Billboards are likely to be too expensive for a small business at this stage

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